



West Bengal State Electricity Distribution Company Limited

(A Govt. of West Bengal Enterprise)

Registered Office: Vidyut Bhavan, Bidhannagar, Block-DJ, Sector-II, Kolkata-700 091

CIN: U40109WB2007SGC113473, website: www.wbsedcl.in

Circular No: 01/2022

Date: 07.01.2022

To
All Controlling Officer,

Subject: Implementation of Internal Financial Control over Financial Reporting (IFCoFR) in WBSEDCL

Companies Act, 2013 has introduced requirements that the Board of Directors, Audit Committee and Independent Directors are responsible for laying down Internal Financial Control (IFC) and to confirm about the adequacy and effectiveness of the IFC framework. Moreover Companies Act 2013, also casts a responsibility upon external auditors to confirm the adequacy and effectiveness of internal control.

In order to comply with the requirements, as set out above, an exercise was carried out by WBSEDCL, wherein 28 number control areas where risk may be associated in 7 functional areas have been evolved. As a first phase of implementation of IFCoFR it has been decided to check the effectiveness of control mechanism in 19 activities where risk is associated. In terms of the direction of Audit Committee in its 81st Meeting held on 12th Nov 2021, the Internal Audit department would test the controls and confirm whether all risks were mitigated. It has also directed that a Comprehensive report for the Company as a whole would be reported to the Audit Committee and Board on regular intervals. The matter was elucidated through video conference on 27th Dec 2021, with all concerned, wherein the details of information as need to be submitted to Internal Audit Department, on a phased manner, has been clarified.

It is therefore enjoined upon all concerned to ensure submission of concerned data as per annexed format within 25th of April, July, October and January of every financial year compiling report for the quarter and up-to the quarter on cumulative basis only for the financial year. Any changes in requirement of data will be communicated by Internal Audit wing.

Director (HR)

ANNEXURE (Pg. No. 1-6)

Revenue		To be filled by accounting unit.						
Revenue	Risk	Number of consumers connected			Number of agreement executed			
	1	Absence of agreements with customers or any non-updation of amendments in the existing agreement may lead to non-identification of rights & obligations of either parties, contracted power drawl, accurate applicable tariff etc. and may expose the company with varied internal and external financial risks.The agreements may not be authorized by competent authority.	L&MV	Decentral Bulk	Central Bulk	L&MV	Decentral Bulk	Central Bulk
	2	Consumer master database is not updated with the required information by competent authority and is open to updation by all department. Duplicate consumer IDs may result in the incorrect billing and revenue recognition for the consumer.	Number of consumers connected			Number of updated data base of consumers		
			L&MV	Decentral Bulk	Central Bulk	L&MV	Decentral Bulk	Central Bulk
3	Meter readings may not be integrated with SAP which may lead to incorrect billing and revenue recognition.	Number of consumers connected			No of con meter reading done through SBM			
		L&MV	Decentral Bulk	Central Bulk	L&MV	Decentral Bulk	Central Bulk	
4	Tariff schedule may not be fed in SAP and updated with the revised order of the Commission resulting in incorrect revenue recognition	Number of consumers connected			No of con billed as per existing tariff			
		L&MV	Decentral Bulk	Central Bulk	L&MV	Decentral Bulk	Central Bulk	
5	Meter data and tariff may be manually altered during invoicing to the consumers leading to fraudulent transactions and incorrect billing.	Number of consumers connected			No of billed con with image checking			
		L&MV	Decentral Bulk	Central Bulk	L&MV	Decentral Bulk	Central Bulk	
6	Invoices may not be authorized by the competent authority and may result in non-checking of accuracy of the invoices.	Number of consumers Billed			No of billed con with checking by authorised person			
		Decentral Bulk		Central Bulk	Decentral Bulk		Central Bulk	

Employee Benefit

E m p l o y e B e n e f i t	Risk	To be confirmed by AGM (F&A)-Terminal Claim		
		Actuarial valuation done as per information submitted by WBSEDCL	Actuarial valuation is not done as per information submitted by WBSEDCL	
	1	The third-party actuary does not utilise the employee and other data provided by the entity or inappropriately makes changes to the employee and other data when performing the actuarial measurement leading to overstatement/understatement of employee benefits expense/liability.		
	2	Salary payments are made to employees not working for the entity (e.g. terminated or fictitious employees), resulting in payroll being overstated; or There are employees who have worked for the entity and that are not included in payroll, resulting in payroll being understated.		
	3	Inappropriate approval of manpower recruitment proposal may lead to undesired hiring resulting in financial loss.		
	4	To be confirmed by AGM (F&A)-MIS		
		Salary release to employees not worked for WBSEDCL (Number & Rs involved)		
		To be confirmed by GM (HR&A)		
		Number of cases and number of proposed manpower to be recruited		
		To be confirmed by Corp. MIS Department		
		For tax calculation purpose, initial investment declaration is not available through ESS portal.	Total number of Employees in the profit centre	No of employees providing investment declaration over the ESS portal.
			No of employees providing investment declaration manually.	

Power Purchase						
Power p h	1	Risk	Confirmed by			
			PTP Cell		F&P Cell	ALDC
			Total MU Purchased	Value (Rs in lakhs)	Total MU Purchased	Total MU Purchased
		Non-verification and reconciliation of quantum of energy procured and the applicable tariff may lead to incorrect and inaccurate accounting and misstatement of balances in the financial statements.				

Fund and Treasury				
Fund & Treasury	Risk	To be confirmed by all accounting units with CCC Information		
		Total no of working days	No of days physical verification done	No of days deviation found
	1	On a daily basis, physical verification of cash is conducted by the cashier at the CCC and by the DDO at the respective accounting units and reconciled with the books of accounts. If any differences are found, the reasons for the same are enquired into and recorded in the cash book.		
	2	To be confirmed by Manager (F&A)-CMC		
		Bank GL		
		Total No	Created after approval of Director Finance	Deleted after approval of Director Finance
	3	To be confirmed by DDO of the Accounting units		
		Number of days unusual transaction detected	Number of unusual transaction detected	Number of unusual transaction settled

		Inventory Procurement					
P & C	Risk	To be confirmed by the P&C Department					
	1 System-generated PO is not issued to the vendors. Manual PO is issued to the vendors.	Total number of Material PO issued to the vendor	Value involved (In lakh)	Total number of ERP generated PO issued to the vendor	Value involved (In lakh)	Total number of Manually generated PO issued to the vendor	Value involved (In lakh)
P & C	To be confirmed by the P&C Department						
	2 Ageing analysis not done for inventory due to which obsolete or slow moving, or non-moving may not be identified.	Total number of exhaustive material items	Value of total Materials (Rs in lakh)	Number of materials declared Slow moving as per policy	Value of Slow moving Materials(Rs in lakh)	Number of materials declared Non-moving as per policy	Value of Non Moving Materials (Rs in lakh)

Financial reporting

FRCP	Risk		To be confirmed by the Controlling officer				
	1	Lack of control over the compliance to be completed before book closure procedures may lead to non-identification of errors and misstatements.	Number of Compliances as per approved Checklist for Book Closure procedure	Number of Compliances as per Checklist fully Complied	Number of Compliances as per Checklist Partly Complied	Number of Compliances as per Checklist Not Complied	Value involved in such non Compliance of Checklist
	2	System of issue of purchase order (PO) is inadequate. This either leads to procurement of service without work order or procurement of service with work order but no acceptance till the book closure date.	Number of Exhaustive list of Purchase orders for Outsourced, Administrative and O&M Activities for the Financial Year	Number of purchase orders for which 100% Service Acceptance done.	Number of purchase orders for which 100% Service Acceptance not done.	Value of services not accepted (Rs in lakhs)	
	3	Details of MSME vendor liability are not SAP driven.	Total Number of MSME Vendors	Vendors against whom MSME flag is Tagged in ERP	Total Liability Involved with MSME flag tagged	MSME Vendors against whom MSME flag is not Tagged in ERP	Total Liability Involved with MSME flag not tagged

Distribution :

1. Adviser(S&V), WBSEDCL.
2. Legal Adviser, WBSEDCL.
3. Advisor (Recruitment), WBSEDCL.
4. Chief Engineer: Dist./Dist. Planning/RE/Dist. Projects-I/II/III/Commercial/Hydel/EMD/PTP/Regulation/CRM/P&C/DTD/PIDD/PSPD/PPSP/Turga/R&EM/Solar/HydelConstn./Communication/Corp.Monitoring, WBSEDCL
5. Chief Engineer (IT), WBSEDCL- **with request for uploading this Circular in the Website of the Company.**
6. Chief Engineer & Project Manager, PPSP HQ, WBSEDCL.
7. General Manager:(HR&A): Corp./T&D and PM, WBSEDCL.
8. General Manager(F&A): Corp./IA, WBSEDCL.
9. Company Secretary, WBSEDCL.
10. Project Manager, PPSP Site/RHP/TCFHP/TPSP/JHP, WBSEDCL.
11. Addl. Chief Engineer, Safety/EMD/S&LP, WBSEDCL.
12. Officer on Special Duty, WBSEDCL.
13. Chief Vigilance Officer, WBSEDCL.
14. Zonal Manager: Kolkata/Burdwan/Midnapur/ Berhampur/ Siliguri Zone, WBSEDCL.
15. Addl. Genl. Manager (HR&A): SSC/CLM/Corp./ES ER-I./Dist./Legal/Vigilance/ES ER-II/Recruitment & Manpower Planning/PTP/PSPD/Common Service Cell/HCM Core Team/HRDD/Project-II/Land Acquisition/ Board Cell, WBSEDCL.
16. Project Manager: Siliguri/ Raiganj/ Berhampur/ Barast/ Burdwan/ Jalpaiguri/ Coochbehar/ Malda/ Balurghat/ Murshidabad-Nadia/ West Midnapur/ East Midnapur/ Bankura/ Baruipur/ Howrah-Hooghly/ Suri RE Project, WBSEDCL.
17. Addl. Genl. Manager (F&A): Corp.-Finance/B&A/MIS-ESTB/Terminal Claims/ Hydel/Dist../RE/ P&C/ Internal Audit/Project-II/ IT, WBSEDCL.
18. Advisor (Corporate Communication), WBSEDCL.
19. Chief Medical Officer, WBSEDCL.
20. Resident Director, Liaison Office, New Delhi, WBSEDCL.
21. Chief Security Officer, WBSEDCL.
22. Adviser (Land)/Chief Land Officer, Land Acquisition Cell, WBSEDCL.
23. Sr. Manager (F&A)/(HR&A), Indirect Taxes/ Budget/ Estb. Corp/ CMC/ EMD, WBSEDCL.
24. Regional Manager: South 24-Parganas/ Bidhannagar/ Balurghat/ North 24-Parganas/ Howrah/ Hooghly/ Burdwan/ Birbhum/ Tamluk/ Midnapur/ Bankura/ Purulia/ Nadia/ Alipurduar/ Murshidabad/ Malda/ Raiganj/ Jalpaiguri/ Darjeeling/ Coochbehar Region, WBSEDCL.
25. Divisional Manager: Behala/Baruipur/Garia/ Diamond Harbour/ Canning/ Bidhannagar-I/Bidhannagar-II/ Howrah-I/ Howrah-II/ Uluberia/ Barrackpore/ Naihati/ Barasat/ Basirhat/Habra/Bongoan/ Serampore/ Singur-Haripal/ Tarakeswar/ Arambag/ Chandannagar/ Mogra/ Kalna/Katwa/Memari/Burdwan North/Burdwan South/ Durgapur/ Asansol/ Suri/ Rampurhat/Bolpur/ Tamluk/ Contai/ Haldia /Ghatal/ Midnapur/ Kharagpur/ Bankura/ Bishnupur/ Purulia/ Raghunathpur/Kalyani/ Krishnagar/ Tehatta/Berhampur/Kandi/ Raghunathganj/ North Malda/ South Malda/Uttar Dinajpur/ Dakshin Dinajpur/ Jalpaiguri/Domkal/Jiaganj/Alipurduar/ Coochbehar/ Darjeeling/Siliguri Town/ Siliguri Suburban / Kurseong/Islampur/ Kalimpong/Mal/Mathabhanga/Belda/ Egra/ Jhargram/ Khatra/ Nakashipara/ Kakdwip/Bhangar/New Town/Balurghat/Ranaghat Division, WBSEDCL. - **for further circulation as may be required under their jurisdiction.**
26. P.S. to Chairman and Managing Director/Chief Financial Officer/ Director (R&T)/ Director (HR)/ Director (Dist)/ Director (Projects)/Director (Generation)/ Executive Director(IT)/ Executive Director(Comml), WBSEDCL.